TD Cowen
a division of TD Securities

Software: Cybersecurity & Information Security

Palo Alto Networks

TD SECURITIES (USA) LLC

August 17, 2026

Price: $384.27 (08/14/2026)
Price Target: $400.00 (Prior $360.00)

BUY (1)

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Key Data

Symbol	NYSE: PANW
Beta:	0.91
52-Week Range:	$396.00-$141.67
Market Cap:	$313.2B
Net Debt (MM):	$(1,046.0)
Cash/Share:	$4.74
Dil. Shares Out (MM):	801.0
Enterprise Value (MM):	$306,754.3
BV/Share:	$34.03
FCF Yield:	1.8%
Dividend:	$0.00
Yield:	0.0%

FY (Jul)	2025A	2026E	2027E
Revenue (MM)			
Year	$9,222.0	$11,420.0	$13,796.0
Prior Year	-	-	*$13,700.0*
EV/S	33.3x	26.9x	22.2x
Consensus Rev	$9,221.5	$11,417.7	$13,828.3

Consensus source: FactSet
Tables in the report show Refinitiv consensus estimates and thus may not match these FactSet estimates.

EPS			
Q1	$0.78	$0.93A	$0.94
Prior Q1	-	-	*$0.93*
Q2	$0.81	$1.03A	$0.98
Prior Q2	-	-	*$0.96*
Q3	$0.80	$0.85A	$1.02
Prior Q3	-	-	-
Q4	$0.95	$0.99	$1.15
Prior Q4	-	-	*$1.19*
Year	$3.34	$3.80	$4.10
P/E	115.1x	101.1x	93.7x
Consensus EPS	$3.34	$3.77	$4.10

Consensus source: FactSet

TARGET UPDATE

F4Q Preview: Highly Favorable Setup to Guide FY27 Revenue Above Consensus

THE TD COWEN INSIGHT

For F4Q (due on 9/1 AMC), we est an in-line rev growth rate of 32% y/y, $0.99 in non-GAAP EPS. Our checks during the Black Hat Conference, coupled with the 'blowout' 2Q results from FTNT (2Q billings up 33% y/y), suggest that current trends remains very strong, and platform consolidation remains intact, providing PANW with the setup to guide rev growth above St's 21% for FY27. Reit Buy. $400 PT.

Favorable Setup to Guide Above St's FY27 Rev: Our industry and channel checks during Black Hat 2026 (here) reinforced several security trends underpinning a strong business environment in cybersecurity, though being particularly positive for vendors of leading platform solutions. Enterprise conversations have shifted decisively towards securing AI adoption, with investments being made in AI security, identity, runtime protection, governance, and autonomous defensive capabilities. Through its Prisma AI Runtime Security (AIRS) component to provide runtime protection against prompt injections, data leakage, and AI threats, PANW addresses secure enterprise AI adoption. On its last earnings call, mgmt cited Prisma AIRS as the fastest-growing product in PANW's history, with clear visibility towards reaching $100M in ARR over the next few Qs. In addition, platform consolidation remains a key purchasing criterion as customers seek to reduce operational complexity while improving efficacy, representing another growing tailwind for PANW, which saw its organic platformization deals grow +32% y/y and +6% q/q for 3FQ. Coupled with the 'blowout' 2Q results from FTNT (2Q billings up 33% y/y), we believe PANW faces a highly favorable setup that should allow it to guide above the FY27 rev cons of $13.8B/+21% y/y.

CSCO Sees Networking Supercycle Still In Its Early Innings: Network Security peer Cisco reported record top and bottom-line performance for its F4Q26, with Networking Product orders up 40% y/y and Security up 9.3% y/y. CSCO mgmt's indication that the current networking "super cycle" would still be in its early innings suggests that PANW could also maintain its strong growth momentum for several more qtrs.

Ests: For F4Q26 (Jul.'26), we est an in-line Total Rev of $3,350M (+32% y/y), with *Product* Rev up 22% y/y, *Subscription & Support* Rev up 35% y/y. We apply op margin est of 30.1% (-20bps y/y; 100bps above St.) and calculate $0.99 in adj. EPS (in line w/St).

Reit Buy: We are raising our FY27E rev y/y growth to an in-line 21% (prior 20%), though we believe that mgmt may guide above this point. Reit Buy as we raise our PT from $360 to $400 (20x EV/FY28E Rev, prior 18x).

AT A GLANCE

Our Investment Thesis

Our investment thesis is predicated on the following: 1) We expect PANW to remain the market leader in next-gen firewalls as well as the quickly growing SASE arena. 2) Expansion into adjacent security markets, including cloud security and security operations (SecOps), coupled with its vast installed base of over 70K customers, opens up significant cross-sell opportunities. 3) PANW could become a Gen AI leader within the cybersecurity arena given its co-pilot offering. 4) We expect the company to continue to generate FCF margins of over 35% over the next 3 years. 5) Continued disciplined cash utilization as the company looks for M&A targets; we expect the company to remain GAAP positive going forward.

Forthcoming Catalysts

- Quarterly earnings
- Industry and investor conferences
- Product launches/briefings

Base Case Assumptions

- For revenue and billings growth, from FY24 through FY26, we expect CAGRs in the mid teens.
- PANW's three platforms should continue to resonate well as customers take a platform approach.
- We expect FCF to be sustained at 37%+ margin by FY26.

Upside Scenario

- Annual revenue/total billings growth of +15%-20% FY24-FY26.
- Gen AI gradually takes center stage affecting PANW's three main platforms.
- FCF margins exceed 40%.

Downside Scenario

- Revenue and billings decelerate below 10%.
- Adoption of its newer offerings takes longer and/or does not reach critical scale.
- PANW fails to successfully gain traction in cloud security, SASE/Zero and XsIAM.
- FCF falls below 35% by FY26.

Price Performance

Source: Bloomberg

Company Description

Palo Alto Networks is a leading global cybersecurity organization, best known for its enterprise grade Next Generation Firewalls (NGFWs), an industry it helped pioneer in the mid-2000s. Machine learning (ML)–powered NGFW's part of the Strata segment extends beyond the port/protocol inspection capabilities of traditional firewalls to include more granular user and application level inspection, which leads to a higher degree of visibility and control across the network security stack. Prisma Cloud is the second pillar, offering security protection across multi-and-hybrid cloud environments supporting advanced SASE and SD-WAN architecture. Cortex rounds out the third pillar, delivering next-gen security operations mainly on its XDR, XSOAR, and Data Lake security analytics platform. PANW was founded in 2005 by current CTO Nir Zuk, a former Check Point engineer who is often credited with the co-development of the stateful inspection firewall while at CHKP.

Analyst Top Picks

	Ticker	Price (08/14/2026)	Price Target	Rating
Cloudflare	NET	$315.78	$355.00	Buy
Fortinet	FTNT	$160.01	$215.00	Buy
SailPoint	SAIL	$19.53	$22.00	Buy

China Revenue Is Financially Immaterial: As we noted to investors (here), we consider the decision of Chinese regulators to launch a formal security review into products sold in the country by PANW a procedural formalization of existing restrictions, rather than incremental news. We also highlighted that PANW's business exposure to the region remains immaterial (<1% of revenue).

Figure 1 - **Overview of TD Cowen Estimates Versus Street Consensus**

Palo Alto Networks Inc.	F4Q 2026E		vs. Consensus		Outlook	FY 2026E		vs. Consensus		FY 2027E		vs. Consensus	
$M, except per share figures	TD Cowen	Consensus	Δ	% Δ	Midpoint	TD Cowen	Consensus	Δ	% Δ	TD Cowen	Consensus	Δ	% Δ
Billings	4,532	4,659	-128	-3%		13,455	13,356	98	1%	15,650	15,596	54	0%
% y/y	22%	25%		-343 bps		28%	27%		94 bps	16%	17%		-45 bps
Total Revenue	3,350	3,350	0	0%	3,350	11,420	11,418	3	0%	13,796	13,828	-32	0%
% y/y	32%	32%		1 bps	32%	24%	24%		3 bps	21%	21%		-31 bps
Gross Margin	2,516	2,549	-33	-1%		8,669	8,684	-14	0%	10,404	10,532	-129	-1%
Gross Profit Margin, non-GAAP	75.1%	76.1%		-98 bps		75.9%	76.1%		-14 bps	75.4%	76.2%		-75 bps
EBITDA, non-GAAP	1,350	1,336	13	1%		4,209	4,007	201	5%	5,555	4,357	1198	28%
EBITDA, non-GAAP margin	40.3%	39.9%		39 bps		36.9%	35.1%		176 bps	40.3%	31.5%		876 bps
Operating Income (loss)	1,009	975	34	4%		3,354	3,316	38	1%	4,140	4,091	49	1%
Operating Margin	30.1%	29.1%		102 bps		29.4%	29.0%		32 bps	30.0%	29.6%		43 bps
Non-GAAP Net Income	834	816	17	2%		2,912	2,891	21	1%	3,500	3,441	59	2%
% y/y	24%	21%				24%	23%			20%	19%		
Non-GAAP EPS	0.99	0.98	0.02	2%	0.97	3.80	3.77	0.03	1%	4.10	4.11	-0.02	0%
GAAP Net Income	406	375	31	8%		995	1,082	-87	-8%	1,683	1,554	129	8%
GAAP EPS	0.48	0.46	0.02	4%		1.28	1.33	-0.04	-3%	1.94	1.79	0.15	8%
FCF	1,455	1,254	200	16%		4,314	4,241	73	2%	5,374	5,242	132	3%
FCF Margin	43.4%	37.4%		598 bps		37.8%	37.1%		63 bps	39.0%	37.9%		104 bps

Source: TD Cowen estimates, FactSet consensus as of 8/12/2026

Guidance

FY26 (July 2026) Guidance Issued 6/2/26

- **NGS ARR:** $8.9B-$8.95B, +59% to +60% y/y.
  - $8.52B-$8.62B, +53% to +54% y/y.
- **RPO:** $20.9B to $21B, +32% to +33y/y (consensus: $20.251B)
  - Prior guidance: $20.2B to $20.3B, +28% y/y
- **Revenue:** $11.415B-$11.425B, +24% y/y. (consensus: $11.288B)
  - Prior guidance: $11.28B-$11.31B, +22% to +23% y/y.
- **Product Revenue Growth**: Low 20% range (unchanged)
- **Non-GAAP Operating Margins**: 28.9% to 29.2%, up 10bps y/y to up 40 bps y/y (Consensus: 28.7%)
  - Prior guidance: 28.5% to 29%, -30bp to +20bp y/y.
- **Non-GAAP EPS:** $3.77 to $3.79. (Consensus: $3.69)
  - Prior guidance ex acquisitions: $3.65 to $3.70.
- **Adjusted Free Cash Flow Margin:** 37.5%
  - Prior guidance 37%
- Diluted shares outstanding: 763M to 766M
  - Prior guidance: 768M to 773M

F4Q26 (July 2026) Guidance Issued 6/2/26

- **NGS ARR:** $8.90B-$8.95B, +59% to +60% y/y.
- **RPO:** $20.9B to $21B, +32% to +33%, y/y (consensus: $20.251B)
- **Revenue:** $3.345B-$3.355B, +32% y/y. (consensus: $3.277B)
- **EPS:** $0.96-$0.98 (consensus: $0.94).
- Non-GAAP effective tax rate: 22%

- Net Interest & Other Income: $60M to $65M
- Diluted shares outstanding: 830M to 840M

Figure 2 - **Cybersecurity Comparable Companies: Consensus Financial Statistics**
Ratings: 1=Buy, 2=Hold, 3=Sell, 4=Suspended

Consensus Company Statistics											($ in millions, except per share data)
Ticker	Company	Rating	8/14/26	High 52WK	Low 52WK	Shares	Market Cap	Debt	Cash	Net Debt /(Cash)	Ent. Value
ALLT	Allot	1	$7.83	$11.92	$6.12	49	$383	$6	$107	($101)	$282
CHKP	Check Point	1	$131.72	$210.66	$112.23	102	$13,449	$2,007	$4,203	($2,197)	$11,252
CLBT	Cellebrite	1	$11.14	$19.98	$9.58	249	$2,779	$23	$546	($523)	$2,256
CRWD	CrowdStrike	1	$216.95	$227.50	$85.68	1,018	$220,911	$820	$4,782	($3,962)	$216,949
EVLV	Evolv	1	$5.80	$8.91	$4.87	181	$1,051	$42	$63	($21)	$1,029
FSLY	Fastly	NR	$29.93	$34.82	$6.84	159	$4,768	$430	$337	$93	$4,861
FTNT	Fortinet	1	$160.01	$172.09	$73.55	734	$117,402	$1,062	$4,469	($3,407)	$113,995
GEN	Gen Digital	NR	$28.48	$31.88	$17.78	599	$17,048	$8,260	$580	$7,680	$24,728
NET	Cloudflare	1	$315.78	$332.22	$158.83	356	$112,443	$3,518	$4,175	($657)	$111,786
NICE	Nice	NR	$102.26	$153.68	$83.10	58	$5,976	$89	$358	($270)	$5,707
NTSK	Netskope	1	$15.81	$27.99	$7.67	404	$6,386	$755	$1,103	($348)	$6,038
OKTA	Okta	2	$147.43	$157.00	$62.66	174	$25,624	$422	$2,595	($2,173)	$23,451
PANW	Palo Alto	1	$384.27	$398.88	$139.57	815	$313,180	$417	$7,003	($6,586)	$306,594
QLYS	Qualys	2	$186.05	$201.54	$74.51	35	$6,436	$52	$705	($652)	$5,784
RDWR	Radware	NR	$29.34	$32.79	$21.68	43	$1,266	$17	$307	($290)	$975
RPD	Rapid7	NR	$13.00	$21.77	$4.97	67	$876	$968	$703	$266	$1,142
SAIL	SailPoint	1	$19.53	$24.00	$10.30	567	$11,077	$18	$394	($376)	$10,701
S	SentinelOne	1	$23.11	$23.95	$11.81	343	$7,922	$15	$831	($816)	$7,106
TENB	Tenable	1	$38.33	$43.67	$15.73	110	$4,222	$417	$298	$119	$4,341
VRNS	Varonis	1	$44.99	$63.90	$19.70	115	$5,168	$522	$916	($394)	$4,773
ZS	Zscaler	1	$183.60	$336.99	$114.63	162	$29,690	$1,797	$3,555	($1,759)	$27,931

Source: FactSet data, table created by TD Cowen

Figure 3 - **Cybersecurity Comparable Companies: Consensus Operating & Valuation Statistics**

Consensus Operating and Valuation Statistics																($ in millions, except per share data)
Ticker	FY End	8/14/26 Ent. Value	Est. Revenue 2026	Est. Revenue 2027	Est. Revenue 2028	EV/Rev 2026	EV/Rev 2027	EV/Rev 2028	Est. EPS 2026	Est. EPS 2027	Est. EPS 2028	P/E 2026	P/E 2027	P/E 2028	EBIT margin 2026	Est. Rev Growth 2027
ALLT	Dec	$282	$116	$130	$144	2.4x	2.2x	2.0x	$0.33	$0.38	$0.40	24x	21x	19x	11.5%	12.0%
CHKP	Dec	$11,252	$2,802	$2,960	$3,110	4.0x	3.8x	3.6x	$10.44	$11.28	$12.55	13x	12x	10x	38.9%	5.6%
CLBT	Dec	$2,256	$557	$641	$743	4.1x	3.5x	3.0x	$0.28	$0.37	$0.55	40x	30x	20x	25.3%	15.1%
CRWD	Jan	$216,949	$5,944	$7,241	$8,821	36.5x	30.0x	24.6x	$1.23	$1.56	$2.01	176x	139x	108x	24.8%	21.8%
EVLV	Dec	$1,029	$182	$219	NA	5.7x	4.7x	NA	-$0.10	-$0.07	NA	NA	NA	NA	-7.1%	20.1%
FSLY	Dec	$4,861	$741	$829	$922	6.6x	5.9x	5.3x	$0.52	$0.58	$0.68	57x	51x	44x	12.5%	12.0%
FTNT	Dec	$113,995	$8,103	$9,021	$10,033	14.1x	12.6x	11.4x	$3.43	$3.76	$4.28	47x	43x	37x	36.0%	11.3%
GEN	Apr	$24,728	$5,423	$5,816	$6,207	4.6x	4.3x	4.0x	$2.93	$3.30	$3.61	10x	9x	8x	49.7%	7.2%
NET	Dec	$111,786	$2,868	$3,691	$4,705	39.0x	30.3x	23.8x	$1.26	$1.67	$2.26	250x	189x	140x	15.4%	28.7%
NICE	Dec	$5,707	$3,181	$3,470	$3,878	1.8x	1.6x	1.5x	$11.17	$12.71	$15.53	9x	8x	7x	25.7%	9.1%
NTSK	Jan	$6,038	$881	$1,071	$1,286	6.9x	5.6x	4.7x	-$0.18	$0.02	$0.14	NA	739x	111x	-9.7%	21.5%
OKTA	Jan	$23,451	$3,199	$3,503	$3,874	7.3x	6.7x	6.1x	$3.85	$4.26	$4.83	38x	35x	30x	25.6%	9.5%
PANW	Jul	$306,594	$11,418	$13,828	$15,782	26.9x	22.2x	19.4x	$3.77	$4.10	$0.00	102x	94x	NA	29.0%	21.1%
QLYS	Dec	$5,784	$735	$795	$858	7.9x	7.3x	6.7x	$7.82	$8.46	$8.94	24x	22x	21x	43.6%	8.2%
RDWR	Dec	$975	$332	$359	NA	2.9x	2.7x	NA	$1.22	$1.36	NA	24x	22x	NA	13.3%	7.9%
RPD	Dec	$1,142	$839	$830	$843	1.4x	1.4x	1.4x	$1.80	$1.83	$1.77	7x	7x	7x	15.4%	-1.0%
SAIL	Jan	$10,701	$1,270	$1,506	$1,766	8.4x	7.1x	6.1x	$0.32	$0.40	$0.47	61x	49x	42x	18.9%	18.6%
S	Jan	$7,106	$1,200	$1,412	$1,638	5.9x	5.0x	4.3x	$0.35	$0.50	$0.72	66x	46x	32x	10.0%	17.6%
TENB	Dec	$4,341	$1,078	$1,157	$1,237	4.0x	3.8x	3.5x	$1.98	$2.18	$2.44	19x	18x	16x	24.2%	7.2%
VRNS	Dec	$4,773	$737	$876	$1,028	6.5x	5.5x	4.6x	$0.15	$0.41	$0.70	304x	109x	65x	1.6%	18.8%
ZS	Jul	$27,931	$3,331	$3,893	$4,542	8.4x	7.2x	6.2x	$4.12	$4.58	$5.38	45x	40x	34x	22.7%	16.9%
					Average	9.8x	8.2x	7.5x			Average	69x	84x	42x		
					Median	6.5x	5.5x	4.7x			Median	40x	37x	31x		

Source: FactSet data, table created by TD Cowen

($ and Shares in Millions, Except Per Share Figures) ($ and Shares in Millions, Except Per Share Figures) are Figures)

Palo Alto Networks Inc. **Income Statement ($M, except per share figures)**	**FY22A** **2022**	**FY23A** **2023**	**FY24A** **2024**	**FY25A** **2025**	**1Q FY26A** **Oct-25**	**2Q FY26A** **Jan-26**	**3Q FY26A** **Apr-26**	**4Q FY26E** **Jul-26**	**FY26E** **2026**	**1Q FY27E** **Oct-26**	**2Q FY27E** **Jan-27**	**3Q FY27E** **Apr-27**	**4Q FY27E** **Jul-27**	**FY27E** **2027**	**FY28E** **2028**
Product Revenue	**1,363**	**1,578**	**1,603**	**1,802**	434	514	594	700	**2,242**	534	612	659	757	**2,562**	**2,758**
Subscription and Support Revenue	**4,138**	**5,314**	**6,424**	**7,420**	2,040	2,080	2,408	2,650	**9,178**	2,662	2,683	2,841	3,048	**11,235**	**12,942**
Total Revenue	**5,502**	**6,893**	**8,028**	**9,222**	**2,474**	**2,594**	**3,002**	**3,350**	**11,420**	**3,196**	**3,295**	**3,501**	**3,805**	**13,796**	**15,700**
Cost of Revenue: Product	**441**	**404**	**335**	**401**	86	112	126	161	**485**	112	136	142	175	**565**	**607**
Cost of Revenue: Subscription and Support	**1,011**	**1,259**	**1,464**	**1,776**	486	507	600	673	**2,266**	658	673	716	780	**2,827**	**3,247**
Total Cost of Revenue	**1,452**	**1,662**	**1,798**	**2,176**	**572**	**619**	**726**	**834**	**2,751**	**770**	**809**	**858**	**955**	**3,392**	**3,853**
Gross Profit: Product	**922**	**1,175**	**1,269**	**1,401**	348	402	468	539	**1,757**	422	476	517	582	**1,997**	**2,151**
Gross Profit: Subscription and Support	**3,127**	**4,056**	**4,961**	**5,644**	1,554	1,573	1,808	1,977	**6,912**	2,005	2,010	2,125	2,268	**8,407**	**9,695**
Gross Profit	**4,049**	**5,230**	**6,229**	**7,045**	**1,902**	**1,975**	**2,276**	**2,516**	**8,669**	**2,426**	**2,486**	**2,642**	**2,850**	**10,404**	**11,846**
Research and Development	**926**	**1,097**	**1,258**	**1,406**	370	390	512	517	**1,789**	522	530	573	579	**2,204**	**2,446**
Sales and Marketing	**1,806**	**2,168**	**2,449**	**2,663**	699	708	842	879	**3,128**	853	850	918	958	**3,578**	**3,936**
General and Administrative	**274**	**305**	**332**	**324**	87	92	108	112	**399**	116	120	121	125	**481**	**515**
Total operating expenses	**3,006**	**3,570**	**4,040**	**4,393**	**1,156**	**1,190**	**1,462**	**1,507**	**5,315**	**1,490**	**1,500**	**1,612**	**1,662**	**6,264**	**6,898**
Operating Income (loss)	**1,043**	**1,660**	**2,190**	**2,652**	**746**	**785**	**814**	**1,009**	**3,354**	**936**	**986**	**1,030**	**1,188**	**4,140**	**4,949**
Incremental operating margin	***19%***	***44%***	***47%***	***39%***					***32%***					***33%***	***42%***
Total other income	**(14)**	**186**	**308**	**354**	**103**	**152**	**65**	**60**	**380**	**85**	**85**	**87**	**90**	**347**	**320**
Income (loss) before income taxes	**1,029**	**1,846**	**2,498**	**3,006**	**849**	**937**	**879**	**1,069**	**3,734**	**1,021**	**1,071**	**1,117**	**1,278**	**4,487**	**5,269**
Provision for Income taxes	**226**	**406**	**550**	**661**	187	205	195	235	**822**	225	236	246	281	**987**	**1,159**
Net Income (loss)	**803**	**1,440**	**1,948**	**2,345**	**662**	**732**	**684**	**834**	**2,912**	**797**	**835**	**871**	**997**	**3,500**	**4,110**
Non-GAAP EPS	**1.26**	**2.21**	**2.83**	**3.34**	**0.93**	**1.03**	**0.85**	**0.99**	**3.80**	**0.94**	**0.98**	**1.02**	**1.15**	**4.10**	**4.68**
Non-GAAP to GAAP Reconciliation	1.68	1.57	**-0.81**	**1.74**	0.46	0.43	1.06	0.52	**2.52**	0.52	0.53	0.54	0.55	**2.15**	**2.31**
Non-GAAP Net Income	**803**	**1,440**	**1,948**	**2,345**	**662**	**732**	**684**	**834**	**2,912**	**797**	**835**	**871**	**997**	**3,500**	**4,110**
Stock Based Comp	**1,072**	**1,145**	**1,162**	**1,386**	387	321	517	527	**1,752**	538	549	560	571	**2,217**	**2,400**
Share-based payroll tax expense	**0**	**0**	**0**	**0**		0		0	**0**	0	0	0	0	**0**	**0**
Loss on facility sublease	**0**	**0**	**0**	**0**		0		0	**0**	0	0	0	0	**0**	**0**
Income tax related to above	**(167)**	**(280)**	**(2,139)**	**(200)**	(109)	(88)	(174)	(100)	**(471)**	(100)	(100)	(100)	(100)	**(400)**	**(400)**
Other adjustment	**164**	**135**	**348**	**24**	50	67	518	0	**635**	0	0	0	0	**0**	**0**
Total adjustment	**1,070**	**1,000**	**(630)**	**1,211**	328	300	861	427	**1,916**	438	449	460	471	**1,817**	**2,000**
GAAP Net Income	**(267)**	**440**	**2,578**	**1,134**	**334**	**432**	**(177)**	**406**	**995**	**359**	**387**	**412**	**526**	**1,683**	**2,110**
GAAP WA Shares Outstanding Diluted	**637**	**684**	**708**	**709**	711	721	818	851	**775**	857	863	869	875	**866**	**891**
GAAP EPS	**(0.42)**	**0.64**	**3.64**	**1.60**	**0.47**	**0.60**	**(0.22)**	**0.48**	**1.28**	**0.42**	**0.45**	**0.47**	**0.60**	**1.94**	**2.37**
Non-GAAP WA Shares Outstanding diluted	**637**	**649**	**687**	**701**	709	711	807	839	**767**	845	851	857	863	**854**	**878**

Source: Company Reports; TD Cowen

Palo Alto Networks Inc. **Margin Analysis**	**FY22A** **2022**	**FY23A** **2023**	**FY24A** **2024**	**FY25A** **2025**	**1Q FY26A** **Oct-25**	**2Q FY26A** **Jan-26**	**3Q FY26A** **Apr-26**	**4Q FY26E** **Jul-26**	**FY26E** **2026**	**1Q FY27E** **Oct-26**	**2Q FY27E** **Jan-27**	**3Q FY27E** **Apr-27**	**4Q FY27E** **Jul-27**	**FY27E** **2027**	**FY28E** **2028**
Product as a % of Total Revenue	24.8%	22.9%	**20.0%**	**19.5%**	17.5%	19.8%	19.8%	20.9%	**19.6%**	16.7%	18.6%	18.8%	19.9%	**18.6%**	**17.6%**
Subscription as a % of Total Revenue	75.2%	77.1%	**80.0%**	**80.5%**	82.5%	80.2%	80.2%	79.1%	**80.4%**	83.3%	81.4%	81.2%	80.1%	**81.4%**	**82.4%**
Grosss Margin: Product	**67.6%**	**74.4%**	**79.1%**	**77.8%**	80.2%	78.2%	78.8%	77.0%	**78.4%**	79.0%	77.8%	78.4%	76.9%	**77.9%**	**78.0%**
Incremental Grosss Margin: Product Y/Y	*39.8%*	*117.2%*	***377.5%***	***66.9%***	*82.3%*	*85.1%*	*79.9%*	*77.8%*	***80.8%***	*73.9%*	*75.6%*	*74.9%*	*75.7%*	***74.9%***	***78.9%***
Gross Margin: Subscription and Support	**75.6%**	**76.3%**	**77.2%**	**76.1%**	76.2%	75.6%	75.1%	74.6%	**75.3%**	75.3%	74.9%	74.8%	74.4%	**74.8%**	**74.9%**
Incremental Gross Margin: Subscription and Support Y/Y	*74.9%*	*79.0%*	***81.5%***	***68.6%***	*71.5%*	*68.7%*	*73.9%*	*72.0%*	***72.1%***	*72.4%*	*72.4%*	*73.2%*	*73.1%*	***72.7%***	***75.4%***
Gross Margin	**73.6%**	**75.9%**	**77.6%**	**76.4%**	**76.9%**	**76.1%**	**75.8%**	**75.1%**	**75.9%**	**75.9%**	**75.4%**	**75.5%**	**74.9%**	**75.4%**	**75.5%**
Incremental Gross Margin Y/Y			***88.0%***	***68.4%***	*74.1%*	*73.2%*	*75.1%*	*72.9%*	***73.9%***	*72.6%*	*72.9%*	*73.4%*	*73.4%*	***73.0%***	***75.8%***
Research & Development	**16.8%**	**15.9%**	**15.7%**	**15.2%**	15.0%	15.0%	17.1%	15.4%	**15.7%**	16.3%	16.1%	16.4%	15.2%	**16.0%**	**15.6%**
Sales & Marketing	**32.8%**	**31.5%**	**30.5%**	**28.9%**	28.3%	27.3%	28.0%	26.2%	**27.4%**	26.7%	25.8%	26.2%	25.2%	**25.9%**	**25.1%**
General & Administrative	**5.0%**	**4.4%**	**4.1%**	**3.5%**	3.5%	3.5%	3.6%	3.3%	**3.5%**	3.6%	3.6%	3.5%	3.3%	**3.5%**	**3.3%**
Operating Margin	**19.0%**	**24.1%**	**27.3%**	**28.8%**	**30.2%**	**30.3%**	**27.1%**	**30.1%**	**29.4%**	**29.3%**	**29.9%**	**29.4%**	**31.2%**	**30.0%**	**31.5%**
Incremental Operating Margin Y/Y	*19.3%*	*44.3%*	***46.7%***	***38.7%***	*38.7%*	*43.0%*	*26.2%*	*29.6%*	***31.9%***	*26.3%*	*28.7%*	*43.3%*	*39.4%*	***33.1%***	***42.5%***
Pre-Tax Margin	**18.7%**	**26.8%**	**31.1%**	**32.6%**	34.3%	36.1%	29.3%	31.9%	**32.7%**	32.0%	32.5%	31.9%	33.6%	**32.5%**	**33.6%**
Effective Tax Rate	**22.0%**	**22.0%**	**22.0%**	**22.0%**	22.0%	21.9%	22.2%	22.0%	**22.0%**	22.0%	22.0%	22.0%	22.0%	**22.0%**	**22.0%**
Net Income Margin	**14.6%**	**20.9%**	**24.3%**	**25.4%**	26.8%	28.2%	22.8%	24.9%	**25.5%**	24.9%	25.4%	24.9%	26.2%	**25.4%**	**26.2%**
SBC as % of Total operating expenses	**35.7%**	**32.1%**	**28.8%**	**31.6%**	33.5%	27.0%	35.4%	35.0%	**33.0%**	36.1%	36.6%	34.7%	34.3%	**35.4%**	**34.8%**
Year-on-year Growth Rates															
Product Revenue	**21.7%**	**15.8%**	**1.6%**	**12.4%**	22.7%	21.9%	31.2%	22.0%	**24.4%**	23.0%	19.0%	11.0%	8.1%	**14.3%**	**7.7%**
Subscription and Support Revenue	**32.0%**	**28.4%**	**20.9%**	**15.5%**	14.3%	13.3%	31.1%	35.1%	**23.7%**	30.5%	29.0%	18.0%	15.0%	**22.4%**	**15.2%**
Total Revenue	**29.3%**	**25.3%**	**16.5%**	**14.9%**	**15.7%**	**14.9%**	**31.1%**	**32.1%**	**23.8%**	**29.2%**	**27.0%**	**16.6%**	**13.6%**	**20.8%**	**13.8%**
Gross Profit	**26.5%**	**29.2%**	**19.1%**	**13.1%**	15.0%	14.2%	30.8%	30.9%	**23.0%**	27.6%	25.9%	16.1%	13.2%	**20.0%**	**13.9%**
Research & Development	**32.1%**	**18.5%**	**14.7%**	**11.8%**	9.5%	9.4%	45.1%	44.0%	**27.2%**	41.0%	36.0%	12.0%	12.0%	**23.2%**	**11.0%**
Sales & Marketing	**24.4%**	**20.1%**	**13.0%**	**8.7%**	11.7%	9.1%	24.0%	24.0%	**17.5%**	22.0%	20.0%	9.0%	9.0%	**14.4%**	**10.0%**
General & Administrative	**11.5%**	**11.3%**	**8.9%**	**-2.4%**	18.4%	11.0%	33.0%	29.0%	**23.0%**	33.0%	30.0%	12.0%	12.0%	**20.7%**	**7.0%**
Total operating expenses	**25.3%**	**18.8%**	**13.1%**	**8.8%**	**11.4%**	**9.3%**	**31.3%**	**30.6%**	**21.0%**	**28.9%**	**26.0%**	**10.3%**	**10.3%**	**17.8%**	**10.1%**
Operating Income	**30.0%**	**59.1%**	**31.9%**	**21.1%**	**21.1%**	**22.6%**	**29.8%**	**31.3%**	**26.5%**	**25.5%**	**25.6%**	**26.6%**	**17.7%**	**23.4%**	**19.5%**
Incremental Operating Income Margin Y/Y	*19.3%*	*44.3%*	***46.7%***	***38.7%***	*38.7%*	*43.0%*	*26.2%*	*29.6%*	***31.9%***	*26.3%*	*28.7%*	*43.3%*	*39.4%*	***33.1%***	***42.5%***
Pre-Tax Income	**30.8%**	**79.4%**	**35.3%**	**20.3%**	21.5%	29.2%	22.3%	23.9%	**24.2%**	20.3%	14.3%	27.1%	19.5%	**20.2%**	**17.4%**
Net Income	**30.8%**	**79.4%**	**35.3%**	**20.3%**	21.5%	29.4%	21.9%	23.9%	**24.2%**	20.3%	14.1%	27.4%	19.5%	**20.2%**	**17.4%**
Diluted EPS	**23.1%**	**75.5%**	**28.1%**	**17.9%**	19.5%	27.4%	5.9%	4.3%	**13.8%**	0.9%	-4.7%	20.0%	16.3%	**7.7%**	**14.2%**
WA Shares Outstanding	**6.2%**	**1.9%**	**5.9%**	**2.0%**	1.7%	1.5%	15.2%	18.7%	**9.3%**	19.2%	19.7%	6.2%	2.8%	**11.4%**	**2.8%**
Stock-based compensation (SBC)	**14.5%**	**6.8%**	**1.4%**	**19.3%**	22.8%	-6.5%	45.5%	41.5%	**26.4%**	39.0%	70.9%	8.2%	8.2%	**26.5%**	**8.2%**
Source: Company Reports; TD Cowen															

	In Millions	In Millions	In Millions	In Millions					In Millions					In Millions	In Millions
Palo Alto Networks Inc. Balance Sheet ($M)	FY22A 2022	FY23A 2023	FY24A 2024	FY25A 2025	1Q FY26A Oct-25	2Q FY26A Jan-26	3Q FY26A Apr-26	4Q FY26E Jul-26	FY26E 2026	1Q FY27E Oct-26	2Q FY27E Jan-27	3Q FY27E Apr-27	4Q FY27E Jul-27	FY27E 2027	FY28E 2028
Assets															
Cash & cash equivalents	**3,635**	**2,390**	**2,579**	**2,903**	4,210	4,536	3,111	4,016	**4,016**	5,473	5,239	6,085	7,190	**7,190**	**11,292**
Accounts receivable	**2,143**	**2,463**	**2,619**	**2,965**	1,343	2,116	2,852	3,913	**3,913**	1,726	2,636	3,361	4,444	**4,444**	**5,010**
Short-term financing receivables	**111**	**389**	**726**	**715**	737	672	591	670	**670**	729	751	798	913	**913**	**1,029**
Short-term deferred contract costs	**318**	**339**	**369**	**420**	415	424	454	536	**536**	511	527	560	609	**609**	**686**
Prepaid expenses and other current assets	**209**	**467**	**557**	**521**	605	621	705	764	**764**	767	791	840	913	**913**	**1,201**
Total Current Assets	**6,415**	**6,048**	**6,850**	**7,523**	**7,310**	**8,369**	**7,713**	**9,899**	**9,899**	**9,206**	**9,944**	**11,644**	**14,068**	**14,068**	**19,218**
Property & equipment, net	**358**	**355**	**361**	**387**	394	485	506	496	**496**	486	501	532	533	**533**	**600**
Operating lease right-of-use assets	**242**	**263**	**386**	**347**	353	368	678	670	**670**	639	659	700	761	**761**	**858**
Long-term investments	**1,052**	**3,048**	**4,173**	**5,556**	5,982	3,362	3,881	4,020	**4,020**	3,835	3,954	4,201	4,566	**4,566**	**5,146**
Long-term financing receivables	**192**	**653**	**1,182**	**1,002**	855	870	779	1,139	**1,139**	1,023	1,054	1,120	1,217	**1,217**	**1,235**
Long-term deferred contract costs	**550**	**547**	**562**	**586**	546	526	551	670	**670**	665	659	700	685	**685**	**772**
Goodwill	**2,748**	**2,927**	**3,350**	**4,567**	4,567	6,931	21,902	21,902	**21,902**	21,902	21,902	21,902	21,902	**21,902**	**21,902**
Intangible assets	**385**	**315**	**375**	**763**	723	1,249	7,283	7,283	**7,283**	7,283	7,283	7,283	7,283	**7,283**	**7,283**
Deferred tax assets	**17**	**23**	**2,399**	**2,424**	2,416	2,392	2,380	2,479	**2,479**	2,403	2,438	2,703	2,496	**2,496**	**2,744**
Other assets	**296**	**322**	**353**	**422**	390	427	593	670	**670**	562	593	658	730	**730**	**772**
Total Assets	**12,254**	**14,501**	**19,991**	**23,576**	**23,536**	**24,979**	**46,266**	**49,229**	**49,229**	**48,005**	**48,988**	**51,444**	**54,241**	**54,241**	**60,530**
Liabilities and Equity															
Accounts payable	**128**	**132**	**116**	**232**	223	262	293	308	**308**	294	329	336	350	**350**	**395**
Accrued liabilities	**399**	**391**	**507**	**608**	398	562	680	804	**804**	678	725	770	837	**837**	**943**
Accrued compensation	**461**	**548**	**555**	**846**	665	937	760	1,608	**1,608**	1,406	1,450	1,540	1,674	**1,674**	**1,887**
Deferred revenue, current portion	**3,641**	**4,675**	**5,541**	**6,302**	6,132	6,248	7,113	7,563	**7,563**	7,052	7,123	8,109	8,622	**8,622**	**9,826**
Convertible notes	**3,677**	**1,992**	**964**	**0**	0	0	160	160	**160**	160	160	160	160	**160**	**160**
Total current liabilities	**8,306**	**7,738**	**7,683**	**7,988**	**7,418**	**8,009**	**9,006**	**10,443**	**10,443**	**9,590**	**9,787**	**10,915**	**11,643**	**11,643**	**13,210**
Deferred revenue, net of current	**3,353**	**4,622**	**5,939**	**6,450**	6,098	6,181	6,492	7,224	**7,224**	6,769	6,861	7,206	8,018	**8,018**	**8,820**
Preferred stock warrant liability	**0**	**0**	**0**	**0**	0	0		0	**0**	0	0	0	0	**0**	**0**
Convt. senior notes, net	**0**	**0**	**0**	**0**	0	0	1,192	1,192	**1,192**	1,192	1,192	1,192	1,192	**1,192**	**1,192**
LT operating lease liabilities	**276**	**279**	**381**	**338**	346	372	719	719	**719**	719	719	719	719	**719**	**719**
Other long-term liabilities	**108**	**114**	**819**	**976**	1,009	1,024	1,189	1,273	**1,273**	1,087	1,120	1,190	1,294	**1,294**	**1,458**
Total Liabilities	**12,044**	**12,753**	**14,821**	**15,752**	**14,871**	**15,586**	**18,598**	**20,851**	**20,851**	**19,356**	**19,679**	**21,223**	**22,866**	**22,866**	**25,399**
Total Stockholders Equity (deficit)	**210**	**1,748**	**5,170**	**7,824**	8,665	9,393	27,668	28,378	**28,378**	28,649	29,309	30,221	31,375	**31,375**	**35,130**
Total Liabilities & Equity	**12,254**	**14,501**	**19,991**	**23,576**	**23,536**	**24,979**	**46,266**	**49,229**	**49,229**	**48,005**	**48,988**	**51,444**	**54,241**	**54,241**	**60,530**
Source: Company Reports; TD Cowen															

Palo Alto Networks Inc. Cash Flow Statement ($M)	In Millions FY22A 2022	In Millions FY23A 2023	In Millions FY24A 2024	In Millions FY25A 2025	1Q FY26A Oct-25	2Q FY26A Jan-26	3Q FY26A Apr-26	4Q FY26E Jul-26	In Millions FY26E 2026	1Q FY27E Oct-26	2Q FY27E Jan-27	3Q FY27E Apr-27	4Q FY27E Jul-27	In Millions FY27E 2027	In Millions FY28E 2028
Cash Flow from Operations															
GAAP Net Income	**(267)**	**440**	**2,578**	**1,134**	**334**	**432**	**(177)**	**406**	**995**	**359**	**387**	**412**	**526**	**1,683**	**2,110**
Depreciation and amortization	**283**	**282**	**283**	**343**	89	91	334	341	**855**	346	351	356	362	**1,415**	**1,501**
Share-based compensation	**1,011**	**1,075**	**1,075**	**1,295**	370	301	643	527	**1,841**	538	549	560	571	**2,217**	**2,400**
Loss on facility sublease and other	**437**	**418**	**(1,589)**	**156**	146	112	238	(176)	**320**	183	(65)	(329)	134	**(77)**	**(290)**
Excess tax benefit from share based comp	**0**	**0**	**0**	**0**	0	0	0	0	**0**	0	0	0	0	**0**	**0**
Change in fair value of preferred stock warrants	**0**	**0**	**0**	**(135)**	(13)	3	(110)	(110)	**(230)**	(110)	(110)	(110)	(110)	**(440)**	**(440)**
Funds Flow from Operations	**1,464**	**2,214**	**2,348**	**2,793**	926	939	928	988	**3,781**	1,316	1,111	888	1,483	**4,798**	**5,281**
(Inc.) Dec. in Operating Working Capital	**521**	**563**	**910**	**923**	845	(385)	(57)	492	**895**	777	(675)	583	242	**927**	**1,382**
Net Cash Flow from Operations	**1,985**	**2,778**	**3,258**	**3,716**	**1,771**	**554**	**871**	**1,481**	**4,677**	**2,093**	**436**	**1,471**	**1,725**	**5,724**	**6,663**
Free Cash Flow	**1,792**	**2,631**	**3,101**	**3,470**	1,687	384	788	1,455	**4,314**	2,008	316	1,396	1,655	**5,374**	**6,303**
Free Cash Flow Margin %	**32.6%**	**38.2%**	**38.6%**	**37.6%**	68.2%	14.8%	26.2%	43.4%	**37.8%**	62.8%	9.6%	39.9%	43.5%	**39.0%**	**40.1%**
Cash Flow from Investing Activities															
Purchase of PPE	**(193)**	**(146)**	**(157)**	**(246)**	(84)	(170)	(83)	(26)	**(363)**	(85)	(120)	(75)	(70)	**(350)**	**(360)**
Proceeds from sales of investments	**449**	**966**	**956**	**1,197**	30	2,786	583	100	**3,499**	100	100	100	100	**400**	**400**
Proceeds from maturities of investments	**1,119**	**2,812**	**1,853**	**1,595**	474	1,135	215	200	**2,024**	200	200	200	200	**800**	**800**
Acquisitions, net of cash	**(37)**	**(205)**	**(611)**	**(1,054)**	(2)	(2,576)	(1,985)	0	**(4,563)**	0	0	0	0	**0**	**0**
Purchase of Investments	**(2,272)**	**(5,460)**	**(3,551)**	**(3,696)**	(1,401)	(524)	(496)	(600)	**(3,021)**	(600)	(600)	(600)	(600)	**(2,400)**	**(2,400)**
Net Cash Flow from Investing	**(933)**	**(2,034)**	**(1,510)**	**(2,205)**	**(983)**	**651**	**(1,766)**	**(326)**	**(2,424)**	**(385)**	**(420)**	**(375)**	**(370)**	**(1,550)**	**(1,560)**
Cash Flow from Financing Activities															
Proceeds from convt. Senior notes, net	**0**	**(1,692)**	**(1,034)**	**(966)**	0	0	10	0	**10**	0	0	0	0	**0**	**0**
Proceeds from issuance of warrants	**0**	**0**	**0**	**0**	0	0	0	0	**0**	0	0	0	0	**0**	**0**
Purchase of convt. Note hedges	**0**	**0**	**0**	**0**	0	0	0	0	**0**	0	0	0	0	**0**	**0**
Proceeds from exercise of stock options	**0**	**0**	**0**	**0**	0	0	0	0	**0**	0	0	0	0	**0**	**0**
Repurchase of common stock	**(892)**	**(273)**	**(567)**	**0**	0	0	(1,000)	(250)	**(1,250)**	(250)	(250)	(250)	(250)	**(1,000)**	**(1,000)**
Payments of deferred offering costs & Other	**86**	**238**	**257**	**187**	129	(100)	110	0	**139**	0	0	0	0	**0**	**0**
Payments of contingent consideration liability					(121)	(14)	(19)		**(154)**					**0**	**0**
Net proceeds from issuance of preferred stock	**0**	**0**	**0**	**0**	0	0	0	0	**0**	0	0	0	0	**0**	**0**
Net Cash Flow from Financing Activities	**(806)**	**(1,726)**	**(1,343)**	**(779)**	**8**	**(114)**	**(899)**	**(250)**	**(1,255)**	**(250)**	**(250)**	**(250)**	**(250)**	**(1,000)**	**(1,000)**
FX effect	**0**	**0**	**0**	**0**	0	0	2	0	**2**	0	0	0	0	**0**	**0**
Beginning Cash Balance	**1,880**	**2,125**	**1,143**	**1,548**	2,279	3,075	4,166	2,374	**2,280**	3,279	4,737	4,503	5,348	**3,279**	**6,454**
Total Change in Cash	**245**	**(983)**	**405**	**732**	796	1,091	(1,792)	905	**1,000**	1,458	(234)	846	1,105	**3,174**	**4,103**
Ending Cash Balance	**2,125**	**1,143**	**1,548**	**2,280**	3,075	4,166	2,374	3,279	**3,279**	4,737	4,503	5,348	6,453	**6,454**	**10,556**

Source: Company Reports; TD Cowen

VALUATION METHODOLOGY AND RISKS

Valuation Methodology

Cybersecurity & Information Security:

Our valuation methodology is primarily based on Enterprise Value to Free Cash Flow (EV/FCF), followed by Price-to-Earnings (P/E). However, this varies by company; for instance, we will often use Enterprise Value to Revenue (EV/Revs) or a discounted cash flow (DCF) analysis for software companies that are primarily subscriptions-based, or for growth companies that have recently entered the public equity markets.

We make investment recommendations on certain early stage, pre-revenue companies based upon an assessment of their business model, technology, probability of market success, and the potential market opportunity, balanced by an assessment of applicable risks. Such companies may not be assigned a price target.

Investment Risks

Cybersecurity & Information Security:

The global economy or specific end markets significantly worsen, contracting IT spending and impairing software growth. The rate of SaaS/Cloud adoption slows, resulting in prolonged sales cycles and higher-than-anticipated quarterly volatility across much of our coverage universe. Competition increases materially, driving deflationary pricing pressure and compressing margins. In particular, innovation by new entrants in the software sector often produces solutions with similar or better functionality at materially lower prices than incumbents' legacy offerings.

Risks To The Price Target

- **Macroeconomic Deceleration:** Macroeconomic deceleration could slow global IT and security spending, reducing demand for on-premises data centers and potentially impeding the company's financial performance.
- **Challenging Competitive Ecosystem:** The cybersecurity industry is notoriously dynamic and relies on rapidly changing technologies. The company competes with several legacy and emerging players across a breadth of products. If competitors succeed in developing best-in-class solutions with more advanced technology, the company could find it increasingly difficult to build sales momentum. This effect could be especially felt outside the traditional firewall market.
- **M&A Risks:** The company has a long history of market expansion through M&A. There is a strong possibility that a larger proportion of the company's FCF will be dedicated to acquisitions of up-and-coming industry players. In addition to putting downward pressure on FCF, in certain cases, this could result in sales disruption as a lengthy acquisition integration process takes place.
- **Breach of Network and/or Product Failure:** A potential breach of the company's network or a disruption of service could have a negative impact on results and raise the possibility of regulatory actions against the company.
- **Shortage of Skilled Talent:** Competition for qualified personnel in the cybersecurity industry is intense. In order to sustain its market leading position and operations across several markets, the company depends on its continuous ability to attract and retain high-quality human capital.

ADDENDUM

Stocks Mentioned In Important Disclosures

Ticker	Company Name
NET	Cloudflare
FTNT	Fortinet
PANW	Palo Alto Networks
SAIL	SailPoint

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Sell (3): The stock is expected to achieve a total return of -10% or below over the next 12 months

Suspended (4): Due to evolving circumstances and potential conflicts of interest, we can no longer generate what we consider a defensible rating at the current time

Assumption: The expected total return calculation includes annual return and forecasted dividend yield

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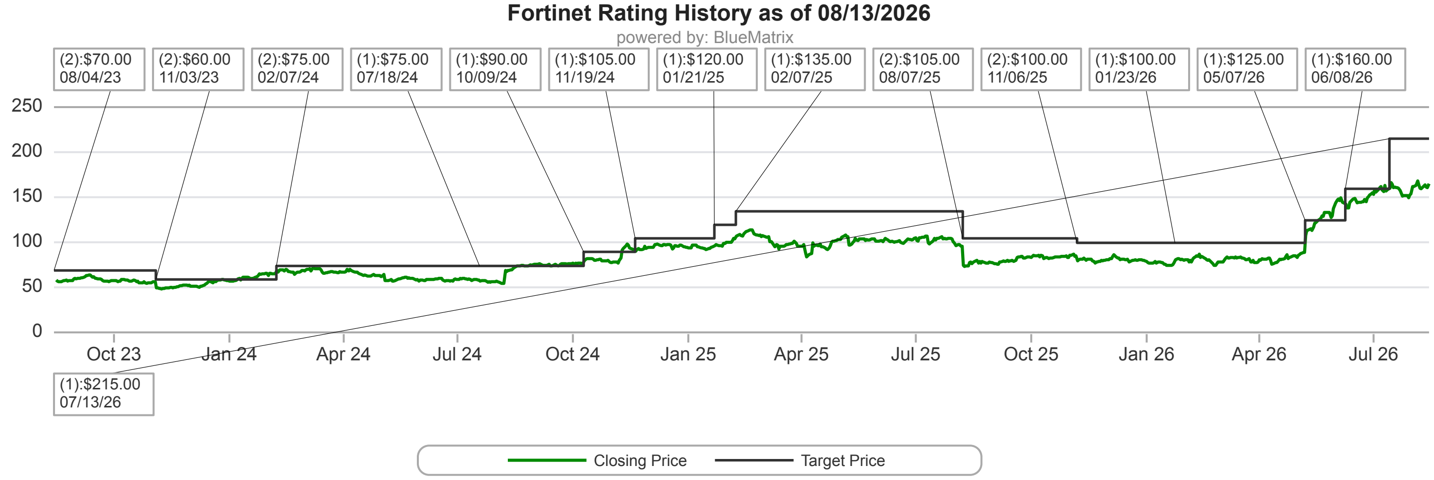
Distribution of Ratings/Investment Banking Services (IB) as of 06/30/26

Rating	Count	Ratings Distribution	Count	IB Services/Past 12 Months
Buy	868	66.92%	348	40.09%
Hold	416	32.07%	130	31.25%
Sell	13	1.00%	4	30.77%

TD Cowen Equity Research Rating Distribution Table does not include any subject company for which the equity research rating is currently suspended.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powered by: BlueMatrix
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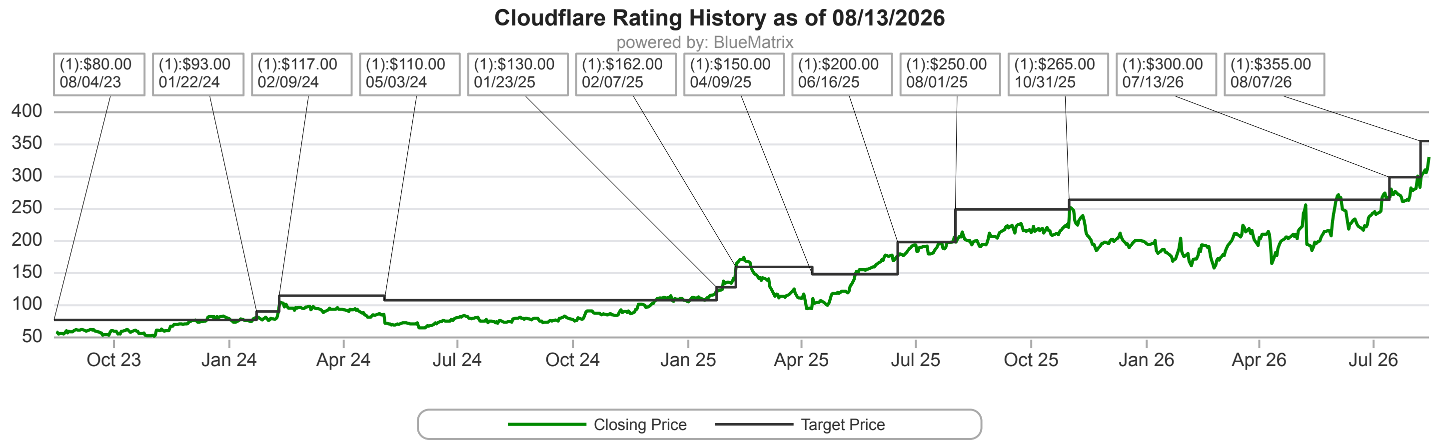
Closing Price
Target Price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powered by: BlueMatrix
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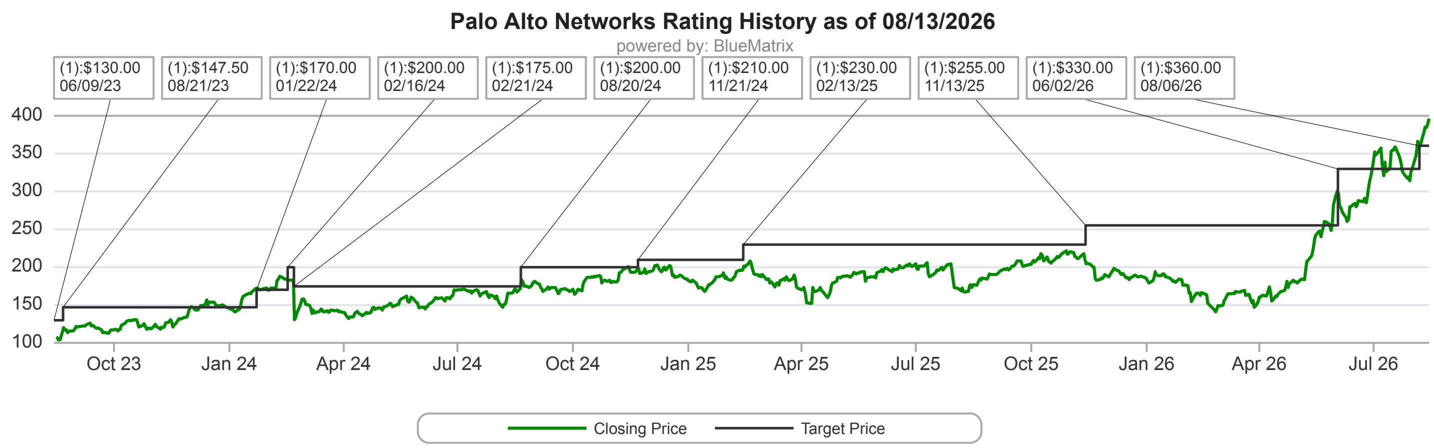
Palo Alto Networks Rating History as of 08/13/2026
powered by: BlueMatrix
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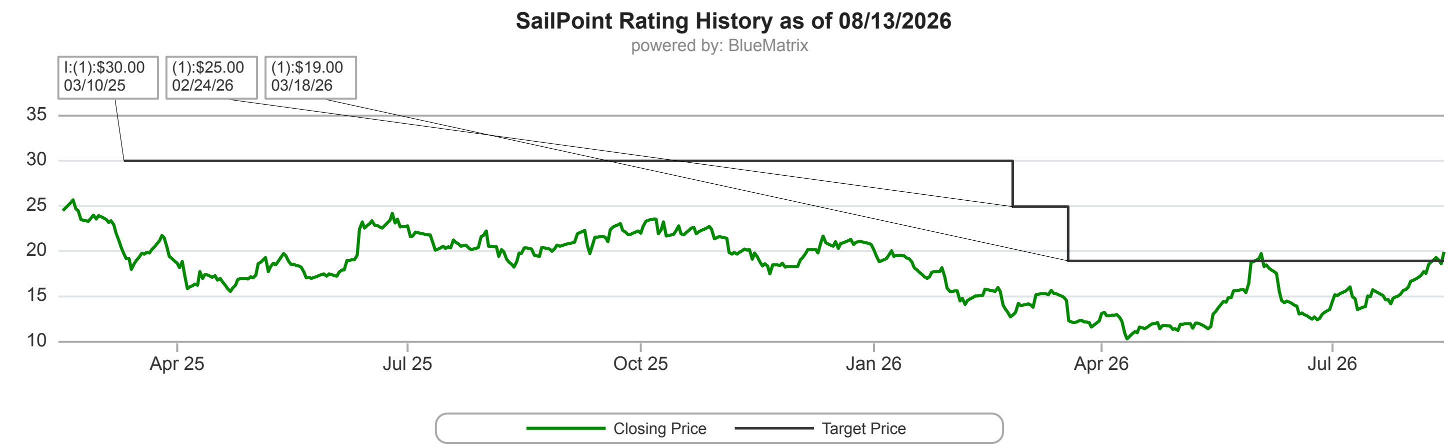

Legend for Price Chart:

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